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Chellarams: A Hundred Years in Lagos, Two Thousand Shares a Day

A Sindhi trading family turned its surname into a brand, carried it from Hyderabad to Lagos in 1923 and kept it there through empire, Partition and every devaluation since. The business survived. The question for an outside shareholder is whether he can leave.

23 OCTOBER 2026 • 20 MIN READ • ESSAY • INDUSTRIALS • CHELLARAM



EDITORIAL ILLUSTRATION | AI-generated concept. From cloth to compressors in one century. The gate on the right is the share register, and it opens more easily from the outside.

By The Lokoja Contrarian · 23 October 2026 · Seven Gates Research

AT A GLANCE

Company
Chellarams Plc, NGX: CHELLARAM. Industrial chemicals, flexible packaging, industrial machinery. Trading in Nigeria since 1923.

Reference price
₦9.70, close of 22 October 2026. Market capitalisation about ₦7.01 billion on 722.9 million shares.

Scale
FY2026 (March year-end) revenue ₦25.98 billion; attributable profit about ₦0.20 billion; no dividend for five years.

Balance sheet
Isolo investment property carried at ₦11.23 billion against gross borrowings of roughly ₦5.1 to 5.2 billion and cash of about ₦0.24 billion at June 2026. Current liabilities exceed current assets by about ₦7.9 billion.

Valuation
1.32 times attributable book value of ₦7.37 a share. Property alone is 1.6 times the market capitalisation.

Ownership and float
Interests represented by two family directors hold 56.40 per cent. Disclosed free float 15.01 per cent. 2,015 shares traded on 22 October 2026.

Seven Gates view
WATCH. Base fair value ₦7.40 to ₦8.30. Interest below ₦6.00, and only by patient accumulation. Walk away above ₦11.50. Horizon 24 months.

Principal risk and review
A share that cannot be sold in size at the quoted price, sitting on a group whose weakest subsidiary has negative net assets of ₦5.69 billion. Review by 31 January 2027. Data cut-off 23 October 2026.

It began, as these things do now, on a phone. I was checking the two Nigerian shares I own, GTCO and MTN Nigeria, in the broker app one evening, when a name I had not thought about in thirty years surfaced in the list beneath them: CHELLARAM, in capitals, with a price beside it and no movement. Chellarams. The department store. A name from the Broad Street of another Lagos. Forty minutes later I was reading a 1944 colonial file about a plot of land in Ikoyi, which is how these evenings go.

I expected a straightforward underwrite: an old trading house, some property, a share nobody trades, the kind of stock I keep a standing grievance about. Nigerian boards are full of them. Tightly held by a family or a parent, with a free float that exists on paper and a price that is really the memory of the last time two people disagreed about it. Buying one feels less like investing than like being fitted for something. Genesis had the words for it in 1974, in a song about a young man back in New York City:

> *In a trap, feel a strap*
> *Holding still. Pinned for kill.*
> *Chances narrow that I'll make it*
> *In the cushioned straight-jacket*
> *Just like 22nd Street,*
> *They got me by my neck and feet.*

Peter Gabriel wrote that about a delinquent in Manhattan. It reads just as well about a minority shareholder in Lagos. Thinly traded, tightly held: that was the piece I meant to write, and the second half of this one still writes it. But the rabbit hole went somewhere else first. What came up was a story about immigration and the movement of capital across borders; about a family refused a house by one empire and a homeland by the end of another, which kept trading through both; about greed and resilience and survival and the plain luck of being present when the ship comes in. It starts with a name.

Somewhere in Hyderabad, in the Sindh of the nineteenth century, a family called Daryanani stopped using its name.

Nobody disowned anybody. The family simply had a patriarch called Chellaram whose trading reputation was worth more than the lineage, and in the merchant quarters of Sindh a surname was a working asset rather than an heirloom. Community historians say this happened often among the Bhaiband traders of Hyderabad: the firm traded on the founder's name, the founder's name became the firm, and within a generation the children answered to the brand. The Daryananis became the Chellarams. The usual gloss on the new name is "beloved of Ram". The commercial gloss is simpler. A bank in Yokohama or a customs officer in Lagos could not confuse it with anybody else.

That is the detail to keep in mind while reading the rest of this piece, because the name has done a great deal of travelling since. It went to Madras, where Kishinchand Chellaram set up on his own in 1915 or 1916 depending on which family account you read. It went to Yokohama in 1918, because Japanese cloth was cheaper than Lancashire's and a Sindhi trader could sit between the two. In 1923 it went to Lagos. In 1947 it survived Partition, which took the family's homeland and left the family's trade routes. In 1974, or 1977, or 1978, the Lagos company went onto the Nigerian stock

exchange, and nobody can quite agree which. Today it sits on the NGX company list in capital letters, valued at ₦7.01 billion, trading two thousand shares on a quiet day.

The name was built to be recognised everywhere. The share was not built to be sold.

The answer first

Our view is WATCH at ₦9.70, the close of 22 October 2026. Chellarams is a plausible asset-backed turnaround sitting inside a listed structure that is unusually hard to leave. The property on the balance sheet is worth more than every share in issue; so are the claims against the group. Base fair value is ₦7.40 to ₦8.30 a share, a range that runs from attributable book value to a conditional break-up value with a 15 per cent haircut on the property. We would get interested below ₦6.00, and even then only by buying a little at a time over months, because the stock does not trade in the quantities that make a position reversible. Above ₦11.50 the shares price in a clean separation of the loss-making subsidiaries that nobody has yet demonstrated is legally possible. Confidence is low to medium. Horizon 24 months. Review by 31 January 2027, or earlier if a material filing arrives.

The five things that would change the view are set out near the end. The rest of this piece explains why a hundred years of staying put produced a share that behaves like this.

Madras, Yokohama, Lagos

Kishinchand Chellaram was born in 1880 into a textile family and, by the family's own telling, was working in the business by fifteen. The community he came from, the Bhaibands of Hyderabad, had a particular way of doing business. The firm's headquarters stayed in Hyderabad. The men went abroad, often for years, and ran branches in whichever port the British had opened. The French historian Claude Markovits, who wrote the first proper study of these traders, the Sindworkis, found not a diaspora of refugees but a network of outposts: Gibraltar, Cairo, Yokohama, Manila, Freetown, Lagos. A young man was posted to a branch the way a junior banker is posted to Dubai.

Malcolm Gladwell, in *Outliers*, argues that the immigrant garment trades of New York gave families something richer than money: work with autonomy, complexity and a visible link between effort and reward, which is what parents pass to children. The Sindworki branch had all three. The manager in Lagos decided what to buy, carried the exchange risk himself, financed the cloth from Madras or Yokohama and sold it before the next ship. A mistake in freight, credit or currency ate the margin before a single bale reached Ebute Metta. The lesson was that the trade belongs to whoever is present when the ship comes in.

The Nigerian operation dates its beginning to 1923. A family history describes a team sent out; a later magazine account has Kishinchand arriving by ship himself. A corporate-archive photograph places him in Lagos in 1936. The evidence supports the enterprise and his later presence. It does not supply a passenger list for 1923, and we will not invent one.

What the archive does supply is a scene from 1944, worth a moment for what it says about staying.

In February of that year a man named Jivatsing, who managed the Lagos business of K. Chellaram and Son, applied for a residential plot in Ikoyi. The colonial administration had by then stopped calling Ikoyi a European reservation, but still ran it on racial lines by other means. Officials decided that Jivatsing himself might meet the area's informal standards. The Indian employees he proposed to house with him troubled them more. He applied again in June. They ordered a Criminal Investigation Department inquiry. No crime was alleged. Both applications failed. The historian Tim Livsey found all of this in the colonial files and published it in the *Journal of African History* in 2022.

A firm could supply the colony's cloth, pay its duties and employ its clerks, and still require a police inquiry to buy a house. Chellarams stayed anyway. The empire left in 1960.

Partition, incorporation and the family that went two ways

The Nigerian company was incorporated as a private limited company on 13 August 1947. Partition came the same week. For the land-owning and shopkeeping Hindus of Sindh, 1947 was ruin. For the Sindworki houses it was something stranger: they lost Hyderabad and Karachi, the mansions and the

warehouses, and kept everything that had always lived abroad. The capital was in the branches. A new Indian company was registered in Bombay the following month. The college that bears Kishinchand's name opened in Bombay in 1954, built for a community that no longer had a home town. That much is the family's and the college's own account, and we have not found reason to doubt it.

A business that had been designed around absence turned out to be designed for exile.

The next generations divided the inheritance by geography. One line, through Kishinchand's son Lokumal, moved its capital from West Africa into dry-bulk ships and property in Hong Kong. Chellaram Shipping was set up there in 1979 by Lal Chellaram; his brother Sham spent sixteen years running the Nigerian operations before joining him. The other line, through Tahilram, then Murli, then Suresh, then Aditya, stayed in Lagos. Chief S. M. Chellaram is the managing director today. His son Aditya, the chief executive, read foreign service at Georgetown, co-founded the Lagos auction house ArtHouse Contemporary with his mother Kavita in 2008 and sits on the advisory board of the Lagos Business School. Five generations, counting the founder, pieced together from company filings, the shipping group's own history and published biographies rather than any single document.

The division was not entirely tidy. In 1975 the brothers settled the family businesses into discretionary trusts, and from the 1980s the family spent the better part of twenty years in court about them. *Chellaram v Chellaram* was decided in the English Chancery Division in 1985 and again, as *No. 2*, in April 2002, with related proceedings in Bombay, Singapore and Bermuda. The disputes concerned trustees' duties over shares in businesses run by cousins outside India, allegations that trust assets were sold at an undervalue to companies the trustees controlled, and the question of whether an English court could reach trusts administered from London over companies registered in Bermuda. It could. The cases are reported at [1985] Ch 409 and [2002] EWHC 632 (Ch), and trust lawyers still study them. The family's own account of the quarrel is not public, and this piece does not pretend to know it.

Leo Tolstoy built *War and Peace* on the premise that a family is a longer story than any of its members. This one has a Lagos chapter, a Hong Kong chapter and a chapter in the Chancery Division, and the Lagos chapter is the only one you can buy on an exchange. That matters. The

listed company is one branch's business, not the family's fortune, and the glamour of the wider name (the fleet, the Hong Kong offices, the philanthropic foundations) does not belong to a Chellarams Plc share.

From the shop window to the factory gate

For a generation of Nigerians the Chellarams name sat beside Kingsway, UTC and Leventis. The stores sold cloth for a ceremony, a sewing machine for the cloth and the reassurance that somebody had managed to import the thing you wanted. Import controls, currency scarcity, the recessions of the 1980s and the long global decline of the department store ended that trade. Some rivals vanished. Chellarams turned towards the people who make things. Its audited accounts for the year to 31 March 2026 break revenue of ₦25.98 billion into three lines.

SEGMENT	WHAT IT IS	FY2026 REVENUE, ₦BN	SHARE
Flexible packaging	Dynamic Industries makes polyethylene films	10.01	38.5%
Industrial chemicals	Raw materials for foam, cosmetics and plastics makers	9.86	37.9%
Industrial machinery	UTAS sells and services compressors and material-handling equipment	6.11	23.5%
Group		**25.98**	**100%**

Source: Chellarams Plc audited consolidated financial statements for the year ended 31 March 2026, segment note; Seven Gates calculations. Segment turnover and standalone subsidiary turnover are not presented on an obviously reconciled basis.

The customer is now a factory manager in Agbara or Sango Ota whose line has stopped for want of a chemical or a compressor part. It is a better business than selling imported cloth to a public that can no longer afford imports, and a duller one. There is no shop window in Isolo.

The group tree is wider than the revenue lines. The accounts carry investments in associates, including Chellco Industries (textiles in Kaduna), Isolo Power Gen (gas-fired power for the industrial estate) and a stake in Devyani International Nigeria, the joint venture with India's RJ Corp that runs KFC in Nigeria. A sum-of-the-parts spreadsheet twitches at the word KFC. The audited accounts do not: the roughly ₦466 million gross carrying value of the associates is matched by an equal impairment allowance, which leaves nil. That does not prove the interests are worthless. It means nobody can put a positive number on them without evidence of ownership, legal rights and distributable earnings that the filings do not provide.

The three consolidated subsidiaries are in very different conditions. At March 2026, UTAS had standalone book equity of about ₦1.05 billion. Dynamic Industries, 77.71 per cent owned, had negative book equity of roughly ₦0.76 billion despite an operational recovery. Chellarams DMK, the dairy venture with Germany's DMK Group, 74 per cent owned, had negative standalone net assets of about ₦5.69 billion. Those are the audited standalone figures. Hold that last number. It is the hole in the hull.

ILLUSTRATION

It is a quarter past seven on the Isolo estate and the gate is already open. A forklift driver walks the yard with a torch he does not need, checking the film rolls against a delivery note, because the lorry for Agbara leaves at eight and the customer stopped a line yesterday. In the office a clerk prints a waybill on a machine older than she is. Her pay sits in the band the annual report calls two to three million naira a year. She has done the arithmetic on what that buys in Lagos this year and has stopped doing it. The yard supervisor knows the three tenants in the leased sheds by their generators: who runs all night, who runs until the bank closes, who has stopped. He has never seen the balance sheet. He is standing on the most valuable line in it.

433 people, then 143

The group reported 433 employees in the year to March 2018 and 143 in the year to March 2026. That is a fall of 67 per cent, spread evenly across every grade: management from 65 to 21, senior staff from 120 to 41, junior and supervisory staff from 248 to 81, all from the employee notes to the two sets of audited accounts. Earlier crisis-era reports referred to closures in Kano and Port Harcourt and to reduced working. The disclosures record a contraction; they do not say how many people retired, resigned, moved to contractors or were let go, and we will not guess.

FIGURE 1

Two-thirds of the workforce left, and every grade left at the same rate

Reported employees by grade at the March year-end, FY2018 against FY2026.

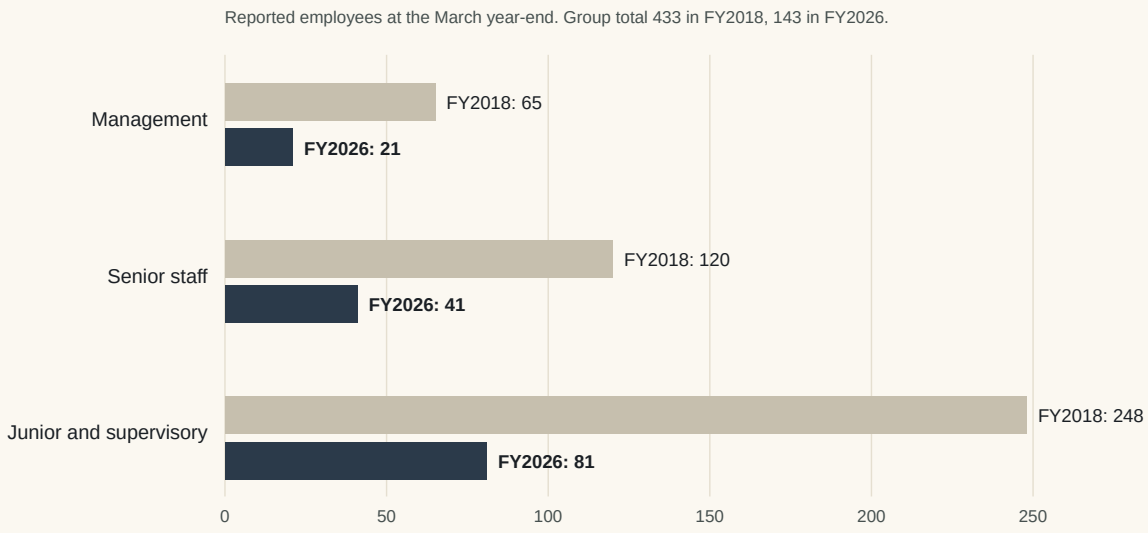


Figure 1. Headcount fell from 433 to 143 between March 2018 and March 2026. Source: Chellarams Plc audited financial statements, employee disclosures, FY2018 and FY2026; Seven Gates calculations. Grade definitions may not be identical across years.

Of the 143 who remain, six were paid below ₦1 million in FY2026, 42 between ₦1 million and ₦2 million, 55 between ₦2 million and ₦3 million, 18 between ₦3 million and ₦4 million, 12 between ₦4 million and ₦5 million, and ten above ₦5 million. The median employee therefore sits in the ₦2 million to ₦3 million band, which is ₦167,000 to ₦250,000 a month before deductions.

Total staff and related pension costs were about ₦343 million, or ₦2.4 million per head as a blunt average, which is our arithmetic and nobody's pay slip. The company contributes 10 per cent of qualifying pay to pensions against the employee's 8 per cent and spent ₦4.25 million on education assistance. The filings say nothing useful about safety, grievances or progression. We found no basis to call Chellarams either a model employer or a bad one, and no sourced list of prominent former employees of the kind a century-old firm might be expected to have. Pleasant inventions have done enough damage in investment writing.

One item needs careful handling. A December 2023 procedural ruling of the National Industrial Court lists a matter brought by 23 claimants against Chellarams Plc and Chellarams DMK. It is evidence that a dispute exists. It is not a finding that the company withheld anything from anyone, and it should not be read as one.

What the owners are paid, and what the owners own

According to the June 2026 quarterly statement, interests represented by Chief S. M. Chellaram, through Chellsons (Bermuda) Limited, hold 40.00 per cent of the shares. Interests represented by Aditya Chellaram, through Westfield Consultants Limited, hold 16.40 per cent. Together, 56.40 per cent. Introtex Corporation holds 19.05 per cent and the Murli T. Chellaram Foundation 6.79 per cent. We do not add those two to the family's stake, because a foundation bearing the family name is not an individual's beneficial holding and the ownership of Introtex is not documented in the filings. What can be said is that four holders account for 82.24 per cent and the company's disclosed free float is 15.01 per cent, or about 108.5 million shares.

HOLDER	SHARES, MILLION	PER CENT
Chellsons (Bermuda), represented by Chief S. M. Chellaram	289.17	40.00
Westfield Consultants, represented by A. S. Chellaram	118.57	16.40
Introtex Corporation	137.70	19.05
Murli T. Chellaram Foundation	49.10	6.79
Eskay Investment and S. K. Onafowokan	19.88	2.75
Disclosed free float	108.50	15.01
Total	**722.93**	**100.00**

Source: Chellarams Plc unaudited financial statements for the quarter ended 30 June 2026, directors' interests and substantial shareholdings; Seven Gates calculations on 722,925,000 shares.

A minority holder cannot outvote any of this: no disposal, dividend, related-party review or change of management happens without the family. He is a guest in a family house, which means reading the small print on what the hosts take.

The small print is thin. Aggregate directors' fees in FY2026 were about ₦6 million, down from ₦10.5 million. That line is not the total remuneration of the two executive directors; salaries, allowances, benefits and pensions are not bridged person by person in the filings we have read. Management described restraint on its own pay during the crisis years, which is a management claim and may well be true. It is still reasonable for a shareholder to want the reconciliation.

The 2021 episode belongs here too. The NGX suspended trading in Chellarams on 30 September 2021 because the audited accounts for the year to March 2021 were late, and lifted the suspension on 12 November 2021 once they were filed. A holder of this stock has once before found the quoted price unavailable to him for six weeks.

The accounts, and where the cash went

FY2026 was the recovery year on paper. Revenue rose from ₦23.10 billion to ₦25.98 billion. Group profit before tax was about ₦0.66 billion against a loss the year before. But the year included net foreign-exchange gains of roughly ₦0.91 billion, which is more than the pre-tax profit, and profit attributable to the parent's shareholders was only about ₦0.20 billion after minorities. Finance costs were close to ₦1 billion, three times the entire wage bill. The directors recommended no dividend, for the fifth year running. (A third-party summary of the same year gives pre-tax profit of ₦0.52 billion rather than ₦0.66 billion. We use the audited figure and explain the gap in the notes.)

The quarter to June 2026 was better still: revenue of ₦9.66 billion, group profit after tax of ₦1.23 billion, ₦1.10 billion of it attributable. The cash-flow statement is quieter. Operating cash flow was about ₦373 million. Capital expenditure took ₦359 million. The difference, before a single naira of interest or principal, was ₦13.5 million. One quarter of operating cash flow does not cover one quarter of finance costs, and a profit that is mostly revaluation and translation is not a profit a creditor accepts.

Two earlier items make the trend harder to read than the headlines suggest. The FY2023 result was flattered by about ₦4.69 billion of loan-interest forgiveness, which does not recur. And the FY2026 cash-flow statement carries a large non-cash entry for the reclassification of the Isolo site from plant to investment property at ₦11.23 billion, so any comparison of cash flows across the two years has to strip it out first.

At June 2026 the balance sheet showed gross borrowings, including debt from the promoters, of roughly ₦5.1 to 5.2 billion, cash of about ₦235 million and current liabilities exceeding current assets by about ₦7.89 billion. Attributable book equity was ₦5.33 billion, or ₦7.37 a share. At ₦9.70 the market pays 1.32 times that.

The yard that is worth more than the company

The Isolo property covers about 42,320 square metres, of which roughly 34,246 are let to third parties. It earned about ₦713.5 million of rent in FY2026. At the ₦11.23 billion carrying value that is, by our arithmetic, a gross yield of 6.35 per cent before running costs, vacancies and tax. There is no independent sale appraisal, rent roll or title opinion in the public record. A valuation in an annual report is an estimate the auditors accepted. It is not a cheque.

Still, ₦11.23 billion of property against ₦7.01 billion of market capitalisation is the fact that brings people to this stock. Begin with the easy version: hold everything else constant and change only the property value.

FIGURE 2

The share trades above book, and book is mostly one yard in Isolo

Attributable book value per share under different values for the Isolo investment property, against the reference price.

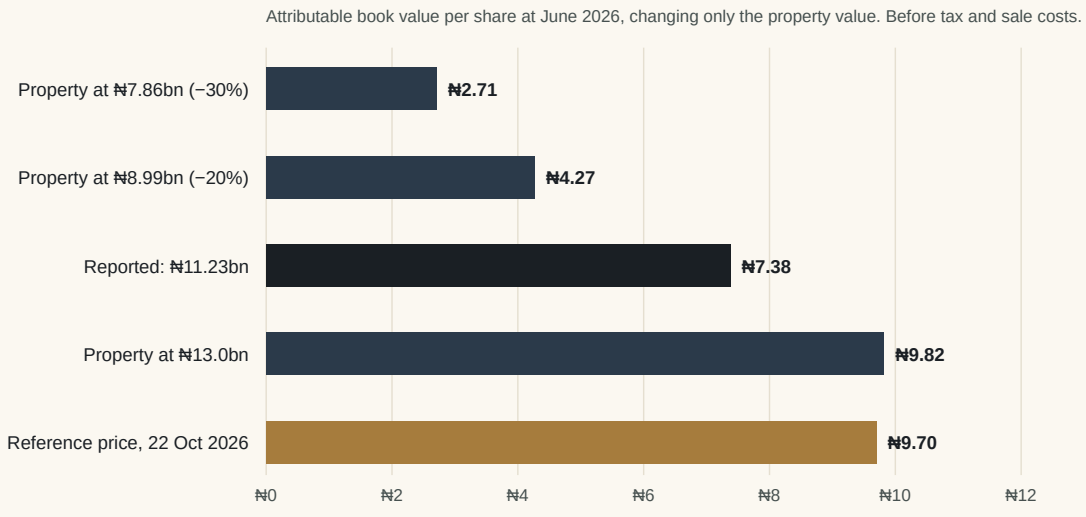


Figure 2. A 20 per cent haircut to the property takes attributable book value from ₦7.38 to ₦4.27 a share; a 30 per cent haircut takes it to ₦2.71. Source: Chellarams Plc statements for the quarter ended 30 June 2026 and audited FY2026 accounts; Seven Gates calculations on 722.9 million shares, before tax, sale costs and contingent liabilities. Estimates, not appraisals.

Now the harder version, the one the bulls prefer. Keep UTAS, which has positive equity. Walk away from Dynamic and DMK, whose equity is negative, for nil. Value what is left. On the June 2026 parent net assets of about ₦7.71 billion, plus UTAS's last audited standalone equity of ₦1.05 billion, less a ₦325 million allowance for known exposures, that comes to ₦11.66 a share with the property at its reported value and no further reserve. Haircut the property by 15 per cent and add a ₦750 million contingency, and it is about ₦8.30. Haircut the property by 30 per cent and add the reserve, and it is ₦4.93. These are our estimates, and every one of them assumes a legal separation that nobody has demonstrated.

This is where the sum of the parts meets the people who are owed money. The family changed its name once because the brand was worth more than the lineage. A subsidiary's debt does not change its name because the parent writes the shareholding down to nil. The ₦5.69 billion hole in the dairy subsidiary's balance sheet is owed to banks and suppliers who have never seen an analyst's spreadsheet and would not be moved by one. If the parent has guaranteed the debt, the hole walks upstairs. If it has lent to the subsidiary, the loan is worth what the subsidiary can repay. If it has done neither, the clean exit is real, and the shares are cheap. The filings we have do not settle it, which is why the clean-exit numbers above are labelled conditional and why the view is WATCH rather than ACCUMULATE.

Remember the yard supervisor from the illustration, who knows his tenants by their generators. He is the one who would notice first if a tenant stopped paying rent. The balance sheet would find out at the next audit.

Welcome to the Hotel California

The Eagles released "Hotel California" at the end of 1976. Chellarams had by then been trading in Lagos for 53 years and had been a public company, if you take its own listing date of November 1974, for two. The song's promise, that a guest may settle his bill whenever he likes but will not actually be leaving, is the most precise description of this share register we have found.

Start with the price.

FIGURE 3

Five years, nineteen verified closes, one price that does not move for months at a time

Chellarams Plc share price in naira, every dated close Seven Gates could verify from 20 September 2021 to 22 October 2026. Not dividend adjusted; no dividends were paid in the period.

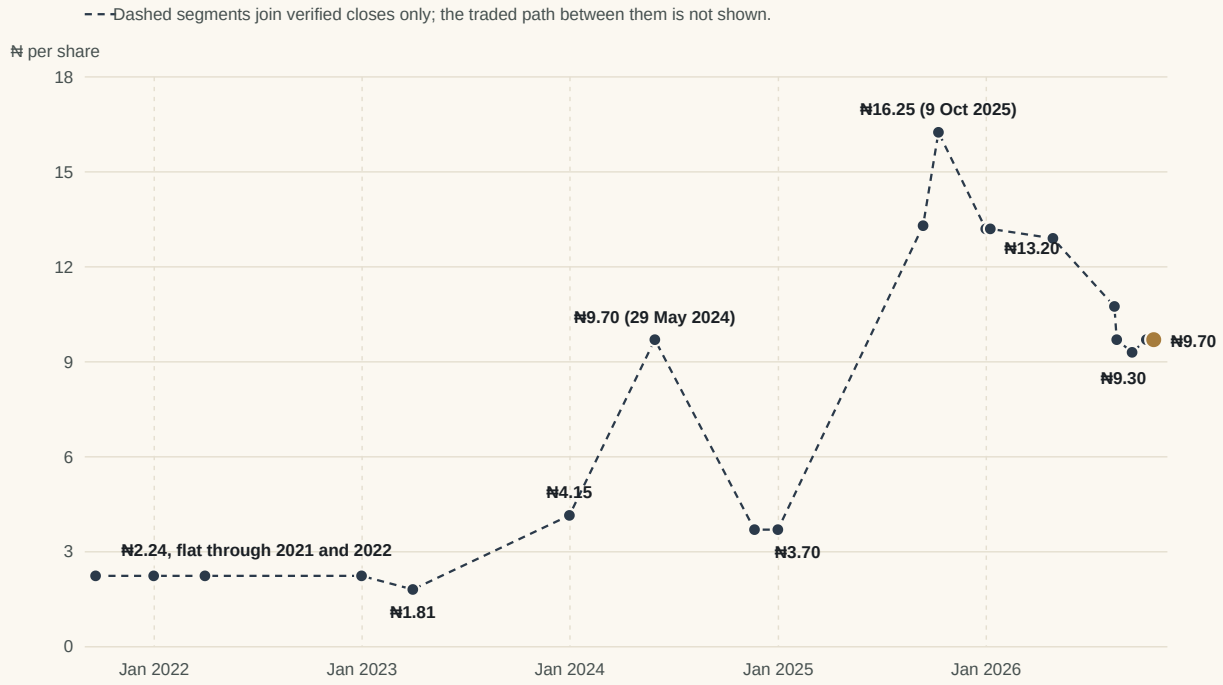


Figure 3. Limitation: this is not a daily or weekly series. Outbound access to price vendors was blocked at the cut-off, so the chart plots the nineteen closes that could be verified from dated sources and joins them with dashed lines that do not represent the traded path. First observation ₦2.24 on 20 September 2021; last ₦9.70 on 22 October 2026. Sources: Chellarams FY2023 financial statements (NGX quotation at 31 March 2022 and 2023); S&P Global Market Intelligence year-end market capitalisation via StockAnalysis divided by 722.925 million shares (December 2021 to 2025); AskTraders via Capital Trust Brokers (20 September 2021; 29 May 2024, date as given by the vendor); MarketScreener (20 November 2024); allAfrica weekly market report (12 September 2025); AFX Kwayisi (9 October 2025); NGX company profile (8 January 2026); Investing.com (28 April, 14 and 18 August, 14 September and 22 October 2026); StockAnalysis (9 October 2026). Seven Gates calculations. The series should be replaced with a daily history once one can be verified.

Two things stand out. The price sat at exactly ₦2.24 from at least September 2021 to the end of 2022, and at exactly ₦13.20 from mid-December 2025 into January 2026. A price that does not move for months has not been tested; it is the last print. And the shape of 2024 and 2025, ₦9.70 in

May 2024, ₦3.70 by November, ₦16.25 by October 2025, ₦9.70 again now, is not the shape of the operating business. It is the shape of the float.

From the end of December 2021 to 22 October 2026 the naira price rose 333 per cent, from ₦2.24 to ₦9.70. Over the same period the official exchange rate went from ₦435 to ₦1,334.72 per dollar. In dollars the share went from about half a cent to about three-quarters of a cent: a gain of 41 per cent in five years, before costs, and before the fact that no dividend was paid. Those are endpoint rates, the NAFEX close of 31 December 2021 and the NFEM close of 21 October 2026, and the result is a translation, not a total-return index.

The audited five-year summary shows no dividend from FY2022 to FY2026. Secondary records show 8 kobo in 2010, 10 kobo in 2011 and 2012 and 5 kobo in 2013, and nothing we can verify after. The company was admitted to the exchange's official list, by its own history, on 29 November 1974; the NGX profile says 1 April 1977; the company's history page also says 1978. Bonus issues in 2000, 2003, 2005 and 2009 would have to be unwound to compute a return since listing, and nobody has published an adjusted series. We are not going to manufacture a fifty-year compound return out of three listing dates and four unverified bonus ratios. A shareholder from the 1970s has a share that is still listed, which in Nigeria is not nothing, and no documented record of what it paid him.

Now the reception desk.

On 22 October 2026, 2,015 Chellarams shares changed hands. At ₦9.70 that is ₦19,546 of turnover: the price of a modest household appliance. On 21 October it was 10,680 shares. The seven sessions to 21 October averaged about 9,066 shares a day. A vendor's three-month average of around 90,000 shares a day exists, and it is dragged up by a handful of large prints that are not available to the next buyer. The volumes are Investing.com's; the averages are ours.

POSITION IN CASH	SHARES AT ₦9.70	MULTIPLE OF THE SEVEN-SESSION DAILY AVERAGE
₦100,000	10,309	1.1 days
₦500,000	51,546	5.7 days
₦1 million	103,093	11.4 days
₦5 million	515,464	56.9 days

Source: Investing.com daily volumes, 13 to 21 October 2026; Seven Gates calculations at the 22 October 2026 close. Assumes constant volume and no price impact, which is generous.

A ₦1 million position is 103,000 shares. An investor who limits himself to a tenth of daily volume, the ordinary discipline, needs about 114 trading sessions to build it, roughly five and a half months, assuming the volume holds and the price does not notice. Selling runs the same arithmetic backwards, against a book that may contain no bid at all on a given afternoon.

None of this makes the business worthless. It changes what the quoted price means. ₦9.70 is the price at which 2,015 shares last moved. It is not the price at which 100,000 would. This is the cushioned straight-jacket. The cushion is the yard in Isolo. The straps are the register.

An investor buying Chellarams in meaningful size may find that the decision to buy is far easier to execute than the decision to leave.

Three futures

	BEAR	BASE	BULL
Property	Independent value 30 per cent below book; tenants in arrears	15 per cent below book, let as now	At or above book, confirmed by appraisal
Subsidiaries	DMK and Dynamic liabilities reach the parent through guarantees or intercompany loans	Partial recourse; ₦750 million contingency	Clean separation at nil cost
Operations	FX gains reverse; operating cash flow below finance costs	Two to four quarters of cash-backed profit; debt reduced	June 2026 quarter repeats; servicing revenue grows
Capital return	None	A first dividend within 24 months	Dividend plus a visible disposal plan
Value per share	₦2.70 to ₦4.90	₦7.40 to ₦8.30	About ₦11.70
Against ₦9.70	minus 49 to minus 72 per cent	minus 14 to minus 24 per cent	plus 20 per cent
What makes it more likely	A fresh impairment, a tenant default, a covenant waiver	Steady quarters without a dividend	A guarantee schedule showing no parent recourse

Source: Seven Gates estimates on Chellarams Plc June 2026 and FY2026 accounts. Equity values per share on 722.9 million shares, before any discount for the cost of selling the shares themselves. These are sensitivities, not appraisals, and the bull case depends on a legal separation that the public record has not established.

The point the table makes is uncomfortable. The base case is below the price. The bull case needs a document that does not yet exist. The bear case needs nothing but time.

The strongest case against this view

An intelligent sceptic would put it like this. You have a listed company whose property alone is worth 1.6 times its market value, whose core subsidiary (UTAS) is solvent and growing, whose plastics business is recovering, which has just printed its best quarter in years, and which has been run by the same family for a century without going bust. The controlling family has no reason to let the shares languish forever; a disposal of the Isolo land, a dividend or an offer for the minorities would each resolve the discount in a day. Illiquidity is the price of being early. Buy a modest position, accept that you cannot sell it quickly, and wait.

That argument is coherent, and the view would move towards it on evidence. Five things: an independent valuation and rent roll for Isolo; a published schedule of guarantees and intercompany balances showing that DMK's negative equity stops at DMK; operating cash flow covering finance costs for two consecutive quarters; a director-by-director remuneration table; and a first dividend since FY2021. Any three would take us to ACCUMULATE on weakness. All five would make the base case look stingy.

What the argument cannot answer is the one hundred and fourteen trading days. A thesis that resolves "in a day" only helps a holder who can sell on that day. In this register, he cannot.

Verdict

Kutuzov, in Tolstoy's telling, refuses to attack and tells the young Prince Andrei that there is nothing stronger than those two, patience and time; they will do it all. It is excellent advice for a family trading house. The Chellarams have followed it for a century: wait out the empire, wait out Partition, wait out the recessions and the devaluations, keep the name, keep the yard. Patience and time have been very good to the people who own 82 per cent of this company.

They are a different proposition for the person who owns a fraction of the remaining 15 per cent. His patience is involuntary. His time is measured in trading sessions.

WATCH at ₦9.70, the 22 October 2026 close. Base fair value ₦7.40 to ₦8.30. Interest below ₦6.00, accumulated slowly. Walk away above ₦11.50. Horizon 24 months; review by 31 January 2027. The name Daryanani was given up because the brand was more valuable than the lineage. The share has the brand. It does not yet have a way home.

Research notes

Rating. WATCH, measured against the ₦9.70 close of 22 October 2026 over a 24-month horizon. Base fair value ₦7.40 to ₦8.30 spans attributable book value (₦7.37) and the conditional clean-exit midpoint (₦8.30). Interest below ₦6.00, which is roughly a 20 per cent discount to attributable book and a 28 per cent discount to the base midpoint, to compensate for the cost of entering and leaving the stock. Walk-away ₦11.50, just below the optimistic clean-exit value of ₦11.66. Review by 31 January 2027 (the half-year results) or earlier on a material filing. Confidence low to medium.

Evidence labels. Labels are carried in the prose rather than in brackets. Audited and quarterly filings, exchange notices and the law reports are fact. The family's restraint on pay is a management claim. The property sensitivities, clean-exit values, liquidity arithmetic, dollar translation and scenarios are Seven Gates estimates or reconstructions. The genealogy, the 1923 arrival, the surname history and the division of the family's businesses are reconstructions from family, institutional and biographical sources. The judgement on the share is opinion.

Share-price chart (Figure 3). Standard 10.10 asks for a daily or weekly five-year series. At the cut-off this session could not retrieve vendor price histories (outbound requests to the price sites were refused by the network), so Figure 3 plots the nineteen closes that could be verified from dated sources, listed in the caption. The 29 May 2024 observation comes from a broker page citing AskTraders and its date could not be confirmed independently. The chart should be replaced with a verified daily history, adjusted for any corporate actions, when one is available.

FY2026 profit. The audited accounts as read for this research give group profit before tax of about ₦658 million, net FX gains of about ₦908 million and attributable profit of about ₦200 million. A third-party abridged summary of the same year gives profit before tax of ₦517.75 million and profit after tax of ₦488.52 million, with total equity (including negative non-controlling interests) of

₦2.79 billion. The article uses the audited figures and flags the difference. Total equity including minorities is lower than attributable equity because the loss-making subsidiaries carry negative non-controlling interests.

Dollar translation. Endpoints only. ₦435 per dollar is the NAFEX close reported for 31 December 2021 (Nairametrics); ₦1,334.72 is the NFEM close reported for 21 October 2026 (Legit.ng and Arbiterz, citing CBN data). An earlier working draft used ₦415, which was the 29 December 2021 rate. Different FX windows produce different results; none produces a dollar total return, because no dividends were paid.

Listing date. The company's own history and its 2019 annual report give 29 November 1974 as the date of admission to the exchange; the NGX company profile gives 1 April 1977; the company's history page separately gives 1978. Bonus issues in 2000, 2003, 2005 and 2009 are recorded in company historical disclosures without ratios we could verify. No since-listing return is computed.

Family history and the Sindhi context. The Daryanani-to-Chellaram surname change and the Bhaiband custom of trading under a patriarch's name come from a family history (shakunkimatrai.com, chapter 11) and from Saaz Aggarwal's Sahapedia essay on the Sindworkis, which cites Claude Markovits's scholarship. The "beloved of Ram" gloss is from surname reference sites and is offered as the usual reading, not a philological finding. The Amil and Bhaiband occupational split is described by community historians and is mentioned here only to explain the surname practice. The 1975 trusts and the litigation are taken from the English law reports: *Chellaram v Chellaram* [1985] Ch 409 (Scott J) and *Chellaram v Chellaram (No. 2)* [2002] EWHC 632 (Ch), Lawrence Collins J, 16 April 2002. The family's own account of the dispute is not public and is not characterised here.

References to check. Kishinchand's birth year (1880) and the 1936 Lagos photograph rest on family and corporate-archive captions. The December 2023 National Industrial Court ruling (nicnadr.gov.ng, judgment 8491) was taken from the research record and could not be re-opened at the cut-off. The Hong Kong founding date of 1979 is from a Hong Kong Marine Department publication; TradeWinds gives 1980 with the first vessel ordered in 1978. Tolstoy is quoted in the Maude translation, *War and Peace*, Book Three, Part Two, Chapter 16. The Genesis lines are from "Back in N.Y.C." on *The Lamb Lies Down on Broadway* (1974), lyrics by Peter Gabriel, quoted

briefly for commentary; the wording was supplied by the editor and matches the published lyric as we know it, but was not checked against the liner notes at the cut-off. Gladwell's argument is paraphrased from *Outliers*, chapter 5.

Illustration. The Isolo scene is a composite and is labelled as such. No employee was interviewed.

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